



Aitken Spence Hotel Holdings PLC

Interim Financial Statement - 3rd Quarter

(For the Nine months ended 31st December 2019)

Consolidated Income Statement

	Quarter ended 31st December		Nine months ended 31st December	
	2019 Rs.' 000	2018 Rs.' 000	2019 Rs.' 000	2018 Rs.' 000
Revenue	5,996,912	4,996,397	13,287,344	12,773,983
Revenue Tax	(142,754)	(141,317)	(346,585)	(358,538)
Net Revenue	5,854,158	4,855,080	12,940,759	12,415,445
Other income	(9,971)	42,141	144,185	17,361
Staff Costs	(1,042,965)	(890,669)	(2,752,094)	(2,548,503)
Depreciation	(611,075)	(441,646)	(1,502,140)	(1,297,767)
Amortisation	(198,479)	(33,017)	(531,240)	(92,695)
Other Operating Expenses - Direct	(1,402,496)	(1,140,712)	(3,070,848)	(2,905,382)
Other Operating Expenses - Indirect	(1,756,323)	(1,593,617)	(4,542,870)	(4,763,191)
Profit from Operations	832,849	797,560	685,752	825,268
Finance Income	34,708	50,454	145,378	180,704
Finance Expenses	(605,679)	(237,603)	(1,268,361)	(690,846)
Net Finance Income / (Expenses)	(570,971)	(187,149)	(1,122,983)	(510,142)
	261,878	610,411	(437,231)	315,126
Share of (Loss) of equity accounted investees net of tax	(53,556)	(23,928)	(232,036)	(111,722)
Profit before Tax	208,322	586,483	(669,267)	203,404
Income Tax Expense	(117,468)	(146,881)	(345,497)	(367,501)
Profit / (Loss) for the period	90,854	439,602	(1,014,764)	(164,097)
Attributable to:				
Equity Holders of the Parent Company	58,036	339,065	(776,088)	(76,395)
Non - controlling interests	32,818	100,537	(238,676)	(87,702)
	90,854	439,602	(1,014,764)	(164,097)
Earnings per share for the period - Rs. (Basic / Diluted)	0.16	1.00	(2.34)	(0.26)

The above figures are provisional and subject to Audit.

Company Income Statement

	Quarter ended 31st December		Nine months ended 31st December	
	2019 Rs.' 000	2018 Rs.' 000	2019 Rs.' 000	2018 Rs.' 000
Revenue	203,713	237,587	433,723	552,997
Revenue Tax	(2,406)	(5,501)	(7,517)	(12,387)
Net Revenue	201,307	232,086	426,206	540,610
Other income	4,772	11,067	468,390	141,398
Staff Costs	(46,371)	(47,384)	(136,252)	(144,059)
Depreciation	(15,627)	(13,995)	(45,390)	(42,848)
Amortisation	(586)	(432)	(1,675)	(856)
Other Operating Expenses - Direct	(59,683)	(64,560)	(134,247)	(158,288)
Other Operating Expenses - Indirect	(81,711)	(86,550)	(221,306)	(229,946)
Profit / (Loss) from Operations	2,101	30,232	355,726	106,011
Finance Income	18,999	23,846	69,289	81,414
Finance Expenses	(29,800)	(40,825)	(91,565)	(126,641)
Net Finance Income / (Expenses)	(10,801)	(16,979)	(22,276)	(45,227)
Profit / (Loss) before Tax	(8,700)	13,253	333,450	60,784
Income Tax (Expense)	(5,778)	(12,531)	(19,035)	(37,592)
Profit / (Loss) for the period	(14,478)	722	314,415	23,192
Earnings per share for the period - Rs. (Basic / Diluted)	(0.05)	(0.01)	0.90	0.04

The above figures are provisional and subject to Audit.

Consolidated Statement of Comprehensive Income

	Quarter ended 31st December		Nine months ended 31st December	
	2019	2018	2019	2018
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Profit / (Loss) for the period	90,854	439,602	(1,014,764)	(164,097)
Other Comprehensive Income				
Items that will never be reclassified to profit or loss				
Revaluation of property, plant and equipment	-	-	-	-
Share of other comprehensive income of equity accounted investees	-	-	-	-
Actuarial gains/ (losses) on defined benefit obligations	-	-	-	-
Income tax on other comprehensive income	-	-	-	-
	-	-	-	-
Items that are or may be reclassified to profit or Loss				
Foreign Currency translation differences of foreign operations	(41,996)	1,172,259	398,246	2,376,635
Net movement on cash flow hedging	(157,230)	(124,898)	(147,640)	(448,352)
	(199,226)	1,047,361	250,606	1,928,283
Other comprehensive income for the period net of tax	(199,226)	1,047,361	250,606	1,928,283
Total comprehensive income for the period net of tax	(108,372)	1,486,963	(764,158)	1,764,186
Attributable to:				
Equity Holders of the Parent Company	(65,073)	982,202	(617,328)	1,124,386
Non-controlling interests	(43,299)	504,761	(146,830)	639,800
	(108,372)	1,486,963	(764,158)	1,764,186

The above figures are provisional and subject to Audit.

Statement of Comprehensive Income - Company

	Quarter ended 31st December		Nine months ended 31st December	
	2019	2018	2019	2018
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Profit / (Loss) for the period	(14,478)	722	314,415	23,192
Other Comprehensive Income				
Items that will never be reclassified to profit or loss				
Revaluation of property, plant and equipment	-	-	-	-
Actuarial gains/ (losses) on defined benefit obligations	-	-	-	-
Income tax on other comprehensive income	-	-	-	-
	-	-	-	-
Items that are or may be reclassified to profit or Loss				
Foreign Currency translation differences of foreign operations	-	-	-	-
Net change in fair value of available for sale financial assets	-	-	-	-
	-	-	-	-
Other comprehensive income for the period net of tax	-	-	-	-
Total comprehensive income for the period net of tax	(14,478)	722	314,415	23,192
Attributable to:				
Equity Holders of the Parent Company	(14,478)	722	314,415	23,192
Non-controlling interests	-	-	-	-
	(14,478)	722	314,415	23,192

The above figures are provisional and subject to Audit.

Consolidated Statement of Financial Position

As at

	31.12.2019 Rs.' 000	31.12.2018 Rs.' 000	31.03.2019 Rs.' 000
ASSETS			
Non Current Assets			
Property, plant and equipment	51,603,678	49,065,833	49,918,218
Right-of-use assets	10,866,431	-	-
Leasehold properties	-	2,317,416	2,214,518
Prepaid operating leases	-	2,015,122	1,924,329
Intangible assets	561,197	491,229	472,879
Investments in equity accounted investees	1,010,176	1,046,859	1,249,902
Other financial assets	805,789	777,637	778,986
Deferred tax assets	176,229	180,848	160,942
	65,023,500	55,894,944	56,719,774
Current Assets			
Inventories	835,645	561,097	552,878
Trade and other receivables	2,235,106	2,060,890	2,094,744
Amount due from holding company	501,264	1,030,280	1,150,073
Amount due from parent's group entities	351,541	516,658	303,397
Deposits and prepayments	754,072	800,979	764,124
Prepaid operating leases	-	59,479	74,969
Current tax receivable	54,167	45,168	36,537
Other financial assets	80,612	189,965	53,108
Cash and cash equivalents	1,728,768	2,131,855	3,152,780
	6,541,175	7,396,371	8,182,610
Assets classified as held for sale	980,111	-	-
TOTAL ASSETS	72,544,786	63,291,315	64,902,384
EQUITY AND LIABILITIES			
Equity Attributable to equity holders of the Parent			
Stated capital	3,554,587	3,554,587	3,554,587
Reserves	5,171,815	4,995,809	4,997,135
Retained earnings	11,312,891	11,909,992	12,787,099
	20,039,293	20,460,388	21,338,821
Non Controlling Interests	8,408,545	8,743,884	9,256,614
Total Equity	28,447,838	29,204,272	30,595,435
Non Current Liabilities			
Interest - bearing Liabilities	33,201,797	23,411,036	23,405,292
Deferred tax liabilities	1,053,541	812,391	953,790
Other Liabilities	-	1,275,196	1,302,017
Employee benefits	228,344	229,784	206,750
	34,483,682	25,728,407	25,867,849
Current Liabilities			
Trade payables	985,860	873,033	923,504
Other provisions and payables	3,612,398	2,959,493	2,977,093
Amount due to holding company	124,371	459,553	110,020
Amount due to parent's group entities	80,737	60,332	56,051
Interest bearing Liabilities	2,469,281	1,688,317	2,075,035
Current tax payable	126,710	147,437	188,426
Short term bank borrowings	2,213,909	2,170,471	2,108,971
	9,613,266	8,358,636	8,439,100
Total Liabilities	44,096,948	34,087,043	34,306,949
TOTAL EQUITY AND LIABILITIES	72,544,786	63,291,315	64,902,384
Net Asset value per share (Rs.)	59.10	60.35	62.96

The above figures are provisional and subject to Audit.

The Chief Financial Officer certifies that the Financial Statements have been prepared in compliance with the requirement of the Companies Act No. 07 of 2007.



Deshamanya D.H.S Jayawardena
Chairman



Dr. M.P Dissanayake
Managing Director



D.G.P Ekanayake
Assistant Vice President - Finance

Colombo

10th February 2020

Company Statement of Financial Position

As at

	31.12.2019 Rs.' 000	31.12.2018 Rs.' 000	31.03.2019 Rs.' 000
ASSETS			
Non Current Assets			
Property, plant and equipment	1,625,542	1,603,945	1,602,490
Intangible assets	3,769	3,493	3,061
Investments in subsidiaries	8,141,540	7,531,000	7,704,201
Investments in equity accounted investees	1,282,873	1,094,994	1,282,873
Other financial assets	654,607	674,278	632,311
	11,708,331	10,907,710	11,224,936
Current Assets			
Inventories	28,177	30,504	20,287
Trade and other receivables	123,236	124,219	161,267
Amount due from holding company	-	41,589	312,619
Amount due from parent's group entities	77,184	352,077	111,589
Deposits and prepayments	18,854	14,289	25,645
Current tax receivable	14,544	5,097	12,190
Other financial assets	21,597	29,348	39,975
Cash and cash equivalents	84,892	114,763	456,931
	368,484	711,886	1,140,503
TOTAL ASSETS	12,076,815	11,619,596	12,365,439
EQUITY AND LIABILITIES			
Equity Attributable to equity holders of the parent			
Stated Capital	3,554,587	3,554,587	3,554,587
Reserves	705,961	705,961	705,961
Retained earnings	6,292,539	5,504,305	6,329,264
Total Equity	10,553,087	9,764,853	10,589,812
Non Current Liabilities			
Interest - bearing Liabilities	575,675	467,200	400,600
Deferred tax liabilities	68,819	83,741	49,783
Employee benefits	38,323	39,695	35,472
	682,817	590,636	485,855
Current Liabilities			
Trade creditors	39,184	35,898	29,165
Other Provisions and payables	114,907	126,712	143,309
Amount due to holding company	46,521	37,188	24,149
Amount due to parent's group entities	490,251	763,684	783,146
Interest bearing Liabilities	136,994	281,414	279,630
Short term bank borrowings	13,054	19,211	30,373
	840,911	1,264,107	1,289,772
Total Liabilities	1,523,728	1,854,743	1,775,627
TOTAL EQUITY AND LIABILITIES	12,076,815	11,619,596	12,365,439
Net Asset value per share (Rs.)	30.89	28.55	31.00

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The Chief Financial Officer certifies that the Financial Statements have been prepared in compliance with the requirement of the Companies Act No. 07 of 2007.



Deshamanya D.H.S Jayawardena
Chairman



Dr. M.P Dissanayake
Managing Director



D.G.P Ekanayake
Assistant Vice President - Finance

Colombo
10th February 2020

Statement of Changes in Equity

For the nine months ended 31st December

GROUP

	Attributable to Equity Holders of the parent							Total	Non Controlling Interest	Total Equity
	Stated Capital	Reserves	Foreign Currency Translation Reserve	Available for Sale Reserve	Cashflow hedge Reserve	Revaluation Reserve	Retained Earnings			
	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000
Balance as at 01st April 2018	3,554,587	22,929	1,946,932	–	(576,239)	2,401,406	12,421,600	19,771,215	8,122,788	27,894,003
Profit / (Loss) for the period	–	–	–	–	–	–	(76,395)	(76,395)	(87,702)	(164,097)
Other comprehensive income	–	–	1,469,793	–	(269,012)	–	–	1,200,781	727,502	1,928,283
Total Comprehensive Income	–	–	1,469,793	–	(269,012)	–	(76,395)	1,124,386	639,800	1,764,186
Transfers to reserves	–	–	–	–	–	–	–	–	–	–
Dividends -2017/18	–	–	–	–	–	–	(435,213)	(435,213)	(18,704)	(453,917)
Balance as at 31st December 2018	3,554,587	22,929	3,416,725	–	(845,251)	2,401,406	11,909,992	20,460,388	8,743,884	29,204,272
Balance as at 01st April 2019	3,554,587	22,929	3,049,131	–	(626,716)	2,551,791	12,787,099	21,338,821	9,256,614	30,595,435
Less: Impact on adoption of SLFRS 16	–	–	–	–	–	–	(427,248)	(427,248)	(359,559)	(786,807)
Restated balance as at 01st April 2019	3,554,587	22,929	3,049,131	–	(626,716)	2,551,791	12,359,851	20,911,573	8,897,055	29,808,628
Profit / (Loss) for the period	–	–	–	–	–	–	(776,088)	(776,088)	(238,676)	(1,014,764)
Other comprehensive income	–	–	247,344	–	(88,584)	–	–	158,760	91,846	250,606
Total Comprehensive Income	–	–	247,344	–	(88,584)	–	(776,088)	(617,328)	(146,830)	(764,158)
Effect of % holding change in subsidiaries	–	–	–	–	–	15,920	80,268	96,188	(96,188)	–
Dividends - 2018/19	–	–	–	–	–	–	(351,140)	(351,140)	(245,492)	(596,632)
Balance as at 31st December 2019	3,554,587	22,929	3,296,475	–	(715,300)	2,567,711	11,312,891	20,039,293	8,408,545	28,447,838

The above figures are provisional and subject to audit.

Statement of Changes in Equity

For the nine months ended 31st December

COMPANY	Stated Capital	Reserves	Revaluation Reserve	Retained Earnings	Total
	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000
Balance as at 01st April 2018	3,554,587	22,929	683,032	5,916,326	10,176,874
Profit / (loss) for the period	—	—	—	23,192	23,192
Other Comprehensive Income	—	—	—	—	—
Total Comprehensive Income	—	—	—	23,192	23,192
Dividends - 2017/18	—	—	—	(435,213)	(435,213)
Balance as at 31st December 2018	3,554,587	22,929	683,032	5,504,305	9,764,853
Balance as at 01st April 2019	3,554,587	22,929	683,032	6,329,264	10,589,812
Profit / (loss) for the period	—	—	—	314,415	314,415
Other Comprehensive Income	—	—	—	—	—
Total Comprehensive Income	—	—	—	314,415	314,415
Dividends - 2018/19	—	—	—	(351,140)	(351,140)
Balance as at 31st December 2019	3,554,587	22,929	683,032	6,292,539	10,553,087

The above figures are provisional and subject to Audit.

Cash Flow Statement

For the nine months ended	GROUP		COMPANY	
	31.12.2019 Rs.' 000	31.12.2018 Rs.' 000	31.12.2019 Rs.' 000	31.12.2018 Rs.' 000
Cash flow from operating activities				
Profit before Taxation	(669,267)	203,404	333,450	60,784
Adjustments for				
Depreciation	1,502,140	1,297,767	45,390	42,848
Amortisation	531,240	92,695	1,675	856
Provision for impairment of debtors	31,382	4,380	1,318	(1,114)
Impairment reversal of financial assets	(1,597)	-	(1,597)	-
Interest Expense	1,268,361	690,846	91,565	126,641
Interest Income	(145,378)	(180,704)	(69,289)	(81,414)
(Profit)/ Loss on sale of Property , Plant and equipment	(5,260)	(12,086)	(2,508)	(84)
Provision for Employee Benefits	36,508	33,407	7,815	7,037
Share of (Profit)/Loss of equity accounted investees net of tax	232,036	111,722	-	-
Operating profit before working capital changes	2,780,165	2,241,431	407,819	155,554
(Increase) / Decrease in Inventories	(282,767)	(132,560)	(7,890)	(9,264)
(Increase) / Decrease in Trade and other receivables	(171,744)	13,249	36,712	73,225
(Increase) / Decrease in Amount due from Holding Company	648,809	433,884	312,619	489,981
(Increase) / Decrease in Amount due from Parents Group Entities	(48,144)	(147,875)	34,405	(35,626)
(Increase) / Decrease in Deposits and Prepayments	10,052	(267,741)	6,791	(4,368)
Increase / (Decrease) in Trade Payables	62,356	272,804	10,020	(2,925)
Increase / (Decrease) in Provisions and other Payables	635,305	9,068	(28,403)	10,357
Increase / (Decrease) in Amount due to Holding Company	14,351	(375,432)	22,372	(239,301)
Increase / (Decrease) in Amount due to Parents Group Entities	24,686	(6,387)	(292,895)	46,372
Cash Generated from / (used in) Operations	3,673,069	2,040,441	501,550	484,005
Interest Paid	(631,416)	(645,681)	(59,525)	(126,641)
Gratuity Paid	(17,333)	(9,808)	(4,964)	(2,503)
Income Tax Paid	(340,379)	(340,464)	(2,354)	(14,205)
Net Cash flow generated from / (used in) operating activities	2,683,941	1,044,488	434,707	340,656
(Carried Forward to next page)				

Cash Flow Statement

	GROUP		COMPANY	
For the nine months ended	31.12.2019	31.12.2018	31.12.2019	31.12.2018
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Net Cash flow generated from / (used in) from operating activities	2,683,941	1,044,488	434,707	340,656
(brought forward)				
Cash Flow from Investing Activities				
Proceeds from debt securities	-	-	(437,339)	-
Investment in equity	13,333	11,511	13,333	11,511
Acquisition of Property Plant and Equipment	(3,316,030)	(8,958,812)	(69,504)	(34,070)
Purchase of Intangible Assets	(91,979)	(167,871)	(2,382)	(2,844)
Proceeds from sale of Property, Plant & equipment	7,670	12,086	3,570	3,609
Proceeds / (Purchase) of term deposits	(45,882)	341,403	-	-
Interest received from deposits	129,724	152,535	53,635	53,242
Net cash flow generated from / (used in) investing activities	(3,303,164)	(8,609,148)	(438,687)	31,448
Cash Flow from financing activities				
Proceeds from interest - bearing liabilities	1,677,534	6,108,811	67,000	-
Repayment of interest - bearing liabilities	(2,065,274)	(5,970,911)	(66,600)	(184,786)
Dividends paid	(351,140)	(435,213)	(351,140)	(435,213)
Dividend paid to shareholders of non-controlling interest	(245,492)	(18,704)	-	-
Net cash flow generated / (used in) from financing activities	(984,372)	(316,017)	(350,740)	(619,999)
Net Increase / (Decrease) in cash & cash equivalents	(1,603,595)	(7,880,677)	(354,720)	(247,895)
Cash & cash equivalents at the beginning of the period	1,118,454	7,842,061	426,558	343,447
adjusted for effect of exchange rate change				
Cash & cash equivalents at the end of the period	(485,141)	(38,616)	71,838	95,552
Analysis of cash & cash Equivalents at the end of the period				
Cash at Bank and in hand and short term deposits	1,728,768	2,131,855	84,892	114,763
Bank Overdrafts	(2,213,909)	(2,170,471)	(13,054)	(19,211)
	(485,141)	(38,616)	71,838	95,552

The above figures are provisional and subject to Audit.

Notes to the Interim Financial Statements

1 Segmental Results

1.1 Revenue

	External	Intra Group	GROUP Total 2019 Rs.' 000	GROUP Total 2018 Rs.' 000
<i>For the nine months ended 31st December</i>	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Sri Lankan Sector				
Resorts and Hotels	3,036,086	5,344	3,041,430	4,070,741
Others	32,806	339,526	372,332	303,820
Total Sri Lankan Sector	3,068,892	344,870	3,413,762	4,374,561
South Asian and Middle East Sector	10,218,452	100,921	10,319,373	8,770,412
	13,287,344	445,791	13,733,135	13,144,973
Intra Group			(445,791)	(370,990)
Total			13,287,344	12,773,983

1.2 Profit/(Loss) before taxation

	GROUP 2019 Rs.' 000	GROUP 2018 Rs.' 000
<i>For the nine months ended 31st December</i>		
Sri Lankan Sector		
Resorts and Hotels	(559,421)	(98,983)
Others	104,080	95,388
	(455,341)	(3,595)
Share of Profit / (Loss) of equity accounted investees	(232,036)	(111,722)
Total Sri Lankan Sector	(687,377)	(115,317)
South Asian and Middle East Sector	18,110	318,721
Total	(669,267)	203,404

1.3 Total Assets

	GROUP 2019 Rs.' 000	GROUP 2018 Rs.' 000
<i>For the nine months ended 31st December</i>		
Sri Lankan Sector		
Resorts and Hotels	20,235,526	21,529,140
Others	305,516	318,926
	20,541,042	21,848,066
Investment in equity accounted investees	1,010,176	1,046,859
Total Sri Lankan Sector	21,551,218	22,894,925
South Asian and Middle East Sector	50,993,568	40,396,390
Total	72,544,786	63,291,315

Notes to the Interim Financial Statements

2 Basis of preparation

The Financial statements of the Company and those consolidated with such for the interim period have been prepared on the same accounting policies and methods of computations as in the most recent audited financial statements and are in compliance with LKAS 34-Interim Financial Reporting.

The accounting policies have been consistently applied by the Group and are consistent with those used in the previous year. The presentation and classification of the financial statements of the previous periods have been amended where relevant to be comparable with those of the current year.

The offshore headquarter companies in the group, changed their presentation currency from Sri Lankan Rupees (LKR) to United States Dollar (USD) with effect from 1st April 2018 to reflect the companies predominant operating currency in their financial statements. However the impact of this change was accounted during the 3rd quarter 2018/2019.

3 Dividends paid

The company paid a first and final ordinary dividend of Rs. 1.00 per share for the year ended 31st March 2019 on 09th July 2019 after it was approved by the board. Total ordinary dividend payment amounted to Rs. 336,290,010/-.

Further, company has paid a preference share dividend of Rs. 0.90 per share for the year ended 31st March 2019 on 09th July 2019 as preference shareholders are entitled to dividends at 9% annually. Total preference share dividend payment amounted to Rs.14,850,000/-.

4 Fair value measurement and related fair value disclosures

As at reporting date there were no significant differences in the comparison made between fair value and carrying value of financial assets and liabilities, from what was disclosed in the annual report for the year ending 31st March 2019. There were neither transfers between different levels of fair value hierarchy nor changes to assets classes classified under recurring and non-recurring basis. Valuation techniques or significant unobservable inputs used for measuring level 2 and level 3 fair values remains unchanged from reporting date as at 31st March 2019.

During the period under review there were no transfers in and out of level 3 financial instrument measurement and any change in fair values are captured in the statement of other comprehensive income.

Unquoted equity shares that are subjected to level 3 of fair value measurement hierarchy, were revalued as at the reporting date. Fair value would not significantly vary if one or more unobservable inputs used for valuation were changed.

5 Contingencies, capital and other commitments

There were no material changes in contingent liability which were disclosed in the Annual Report for the year ended 31st March 2019.

6 Events after the reporting period

There were no material events that occurred after the reporting date that require adjustments to or disclosure in the financial statements.

7 Assets classified as held for sale

The carrying value of the leasehold rights of Raafushi Island was classified under "Assets held for sale" during period under review, consequent to the decision made by Ace Resorts (Pvt) Ltd., to dispose its lease.

8 Seasonality of operations

Five months of the period under review relates to the off season of the tourism industry both in Sri Lanka and overseas, the group operates.

9 There was no liability to management fees or any other similar expenditure not provided for in the interim financial statements.

10 New accounting standards and interpretations

SLFRS 16 – Leases

SLFRS 16 Leases, replaces the existing leasing guidance, including LKAS 17 Leases, IFRIC 4 Determining whether an arrangement contains a lease, SIC -15 Operating leases – Incentives and SIC-27 Evaluating the Substance of transactions involving the legal form of a lease. SLFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to account for all leases under one single balance sheet model similar to the accounting for finance leases under LKAS 17.

As prescribed by this standard, the Group recognise an asset (right-of-use asset) representing its right to use the underlying assets and lease liability representing its obligation to make lease payments. Subsequently on an on going basis the Group will be separately recognising the interest expense on the lease liability and the depreciation expense on the right-of-use asset.

Nature of the effect of adoption of SLFRS 16

The Group has lease contracts for various items such as land, building, vehicles and equipment. Land leases are the major asset included in the right-of-use assets category, typically made up to 99 years of lease term and have extension options. However, the Group has elected not to recognise right-of-use assets and lease liabilities for short-term leases and leases of low-value items. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

Initial application

The Group initially adopted SLFRS 16 from 01 April 2019 using the modified retrospective approach, under which the cumulative effect of initial application is recognised in retained earnings at the date of initial application (i.e. 01 April 2019). Accordingly the information presented for 2018/2019 has not been restated, i.e. it is presented, as previously reported, under LKAS 17 and related interpretations. Additionally, the disclosure requirements in SLFRS 16 have not generally been applied to comparative information.

The following table summarizes the impact, net of tax, of transition to SLFRS 16 - "Leases" as at 01 April 2019.

	Rs.'000
Assets	
Right-of-use assets	8,996,493
Leasehold properties	(2,214,518)
Pre-paid operating leases	(1,114,124)
Investments in equity-accounted investees	(7,690)
Deposits and prepayments	(271,526)
Total Assets	5,388,635
Equity	
Retained earnings	(427,248)
Non-controlling interests	(359,559)
	(786,807)
Liabilities	
Interest bearing liabilities	6,175,442
	6,175,442
Total Equity & Liabilities	5,388,635

Leases previously classified as leasehold properties and pre-paid operating leases

For leases previously classified as leasehold properties and pre-paid operating leases, the Group recognised the carrying amount of the lease asset immediately before transition as the carrying amount of the right-of-use asset. The requirements of SLFRS 16 were applied to these leases from 1 April 2019.

Leases previously accounted for as operating leases

The Group recognised right-of-use assets and lease liabilities for those leases previously classified as operating leases, except for short-term leases and leases of low-value assets. The right-of-use assets for most leases were recognised based on the carrying amount as if the standard had always been applied, apart from the use of incremental borrowing rate at the date of initial application. Lease liabilities were recognised based on the present value of the remaining lease payments, discounted using the incremental borrowing rate at the date of initial application.

Impact for the period

As a result of applying SLFRS 16, the Group recognised Rs. 10.8 billion as right-of-use assets and Rs. 8.3 billion as lease liabilities as at 31st December 2019 in the statement of financial position. Also, in relation to those leases under SLFRS 16, the Group recognised Rs. 512.8 million of amortisation charges and Rs. 491.6 million of interest costs during the nine months ended 31st December 2019 instead of operating lease expenses in the income statement. Therefore, the additional impact on the income statement due to the application of this standard during the quarter is Rs. 126.2 million.

Investor Information

1 Share Information

	31.12.2019	31.12.2018
Market Price per Share		
- Highest	31.80	30.50
- Lowest	23.80	24.00
- Last Traded Price (Rs.)	27.10	27.00
Number of shares represented by the stated capital		
	31.12.2019	31.12.2018
- Ordinary	336,290,010	336,290,010
- Preference	16,500,000	16,500,000

- 2 Percentage of shares held by the public as at 31st December 2019 is 25.40%. Number of public shareholders as at 31st December 2019 was 3,623.
- 3 The float adjusted market capitalisation as at 31st December 2019 was Rs. 2,314,502,898/- with reference to rule no. 7.6 (iv) of the listing rules of the Colombo Stock Exchange. As the float adjusted market capitalisation is less than Rs. 2.5 billion, Aitken Spence Hotel Holdings PLC complies under option 5 with the minimum public holding requirement.
- 4 Shares held by the Directors are as follows:

Name of the Director	Position	No of Shares 31.12.2019	No of Shares 31.12.2018
Deshamanya D.H.S Jayawardena	Chairman	-	-
Dr. M.P. Dissanayake	Managing Director	-	-
Ms. D.S.T Jayawardena	Director	16,000	16,000
Mr. C.M.S Jayawickrama	Director	-	-
Mr. J.M.S Brito	Director	331,021	331,021
Mr. R.N Asirwatham	Director	1,000	1,000
Mr. C.H Gomez	Director	-	-
Mr. N.J. de S. Deva Aditya	Director	-	-
Mr. G.P.J Goonewardena	Director	5,460	5,460
		<u>353,481</u>	<u>353,481</u>

- 5 Twenty Largest Shareholders as at 31st December 2019

Name of the Share Holder	No of Shares	%
Aitken Spence PLC	239,472,667	71.21
Employees Provident Fund	31,501,601	9.37
Sri Lanka Insurance Corporation Ltd. - Life Fund	5,518,727	1.64
Ace Cargo (Private) Ltd	4,423,601	1.32
Aitken Spence Hotel Managements (Private) Ltd	3,530,639	1.05
Aitken Spence Aviation (Private) Ltd	2,604,140	0.77
Bank of Ceylon No. 01 Account	2,547,424	0.76
Employees Trust Fund Board	2,370,705	0.70
Ceylon Guardian Investments Trust PLC	2,245,982	0.67
J. B. Cocoshell (Pvt) Ltd	2,210,655	0.66
National Savings Bank	2,102,133	0.63
G.C. Wickremasinghe	2,082,241	0.62
Associated Electrical Corporation Ltd	1,500,000	0.45
Ceylon Investments PLC A/C # 02	1,283,675	0.38
A.T Wickramasinghe	1,245,004	0.37
Bank of Ceylon A/C Ceybank Century Growth Fund	1,078,573	0.32
M.J. Fernando	1,000,000	0.30
K. Fernando	991,149	0.29
Ceylon Investments PLC A/C # 01	985,900	0.29
Rubber Investment Trust Limited A/C # 01	826,548	0.25
	<u>309,521,364</u>	<u>92.04</u>

Corporate Information as at 31.12.2019

Directors

Deshamanya D.H.S. Jayawardena	- (Chairman)
Dr. M.P. Dissanayake	- Professor Maritime Studies, Alumini USJ, Norad, JICA, University of Oxford - Business Alumini. Harvard Business School (EEP), Fellow (CIM, ICS, CILT-UK) - (Managing Director)
Ms. D.S.T. Jayawardena	
Mr. C.M.S. Jayawickrama	- FCMA
Mr. J.M.S. Brito	- LLB, FCA, MBA
Mr. R.N. Asirwatham	- FCA
Mr. C.H. Gomez	
Mr. N.J. de Silva Deva Aditya	- DL, FRSA, MEP
Mr. G.P.J. Goonewardena	

Legal Form

A public quoted Company with limited liability
Incorporated in Sri Lanka on 14th March 1978

Company registration Number

PQ 97

Secretaries

Aitken Spence Corporate Finance (Pvt) Ltd
No 315, Vauxhall Street,
Colombo 02,
Sri Lanka.
Tel: (94 11) 2308308
Fax: (94 11) 2308099

Registrars

Central Depository Systems (Pvt) Ltd.
Ground Floor, M & M Centre,
No. 341/5, Kotte Road,
Rajagiriya, Sri Lanka.
Tel: (94 11) 2356456
Fax: (94 11) 2440396

Registered Address

No 315, Vauxhall Street,
Colombo 02,
Sri Lanka.
Tel: (94 11) 2308308